

Illustration by **SIDDHANT JUMDE**

pandemic, the repayment structure is more consumer-friendly. FinTechs have also managed to position themselves at the point of sale when consumers are buying, making it tempting to purchase, even for someone with cash flow challenges.

There are several BNPL players in the market such as ZestMoney, LazyPay, Simpl, Ola Money Postpaid, Paytm Postpaid, Flexmoney and Capital Float, provided by ICICI Bank and HDFC Bank. While the operating model may vary across providers, the bill is paid in full by the BNPL provider if you opt for this option.

The consumer is required to repay the interest-free loan in instalments over a short-term fixed-payment schedule. BNPL providers charge a fee for any missed payments, which could be hefty. Terms and conditions of the loan vary across providers. "I have paid additional charge and penalty on account of missing out on repayment, but the convenience outweighed the cost," says Shah.

SENSING THE OPPORTUNITY THAT EXISTED IN PROVIDING EASY CREDIT TO PEOPLE WITHOUT ACCESS TO CREDIT CARDS, SEVERAL PLAYERS HAVE MUSHROOMED TO GIVE THE SAME THROUGH BNPL

How do the BNPLs make money? They mostly make money from the retailer. For retailers, it makes immense sense to make a sale, and often they enter into tie-ups with BNPL providers to ensure that sales are not impacted due to lack of funds. By dropping prices on certain products or cutting margins, retailers attract consumers who, in turn, are lured into buying more than what they may need or buy things that they may not need. The idea is to package pricing of goods so that the average basket value goes up to boost sales.

The more the customers spend, the bigger the profits the BNPL provider makes. Data from research shows that, on an average, retail merchants offering BNPL see more sales with higher conversion rates and an increase in the average value of the order. The whole payment ecosystem is managed well by the BNPL players for both sellers and buyers, with both sides experiencing benefits. Since the BNPL player fronts the payment to the retailer, they are able to manage their cash flows conveniently, reducing their operating cost.

Many retailers and merchants are willing to pay commission to partner BNPLs for sales. BNPL transactions include interest charges too, especially on